

Rewiring the State — 31st July 2026

The Government's "Rewiring the State" agenda has now moved from a broad reform ambition to a much more concrete programme of devolution, fiscal reform and restructuring of the relationship between Whitehall and local government.

The key document is the Cabinet Statement published 31 July 2026. Its central proposition is to shift power, funding and accountability from Whitehall to local leaders, with the intention of completing the transition during this Parliament

[Rewiring the State – Cabinet Statement - GOV.UK](#)

1. The fundamental shift

The Government is effectively proposing to move from:
Central government → departments → local government
towards:

National strategic government → strategic authorities/mayors → integrated local public services

The principle is explicitly "devolution, not delegation". Central government is expected to become smaller and more strategic, while local and regional government takes greater responsibility for economic growth, public services and investment.

A particularly important principle is "devolving by default": where a policy or service is being designed or changed, Secretaries of State will have to justify why it should remain under central government control.

2. Strategic authorities become much more important

The biggest institutional winners are likely to be mayoral strategic authorities and their constituent councils.

The Government wants elected mayors to become a much stronger mechanism for aligning:

- economic development
- employment and skills
- transport

- housing
- health
- policing
- education
- public service reform
- investment
- prevention

The rationale is that mayors can bring together national, regional and local priorities and provide a single point of democratic accountability.

This is particularly significant for the developing Combined Authority/Strategic Authority model.

3. Public services will be organised around place

One of the most important parts of the announcement is the intention to create more integrated local public-service systems.

The Government specifically talks about greater alignment between:

- local authorities
- police
- fire and rescue
- Integrated Care Boards
- education
- other public services.

It intends to align key public-service boundaries with strategic-authority boundaries by the end of the Parliament, where practical.

This could ultimately mean that the geography of government changes significantly.

For employability and skills, this matters enormously because the policy direction is towards services being designed around the person and place, rather than around individual departmental programmes.

4. Money follows the powers

This is arguably the most significant part of the reform.

From April 2027, mayors are expected to retain a share of business rates, alongside new fiscal powers including the ability to introduce an Overnight Visitor Levy.

From April 2028, the Government plans to replace central-government grants to mayors with a share of local income tax, allowing regions to benefit financially when their tax base grows.

There will also be greater retention of locally raised business rates by councils and strategic authorities.

New direction is less grant dependency → greater local revenue retention → greater local responsibility for economic growth.

That fundamentally changes the incentives facing mayors and councils.

5. Number 10 North

The creation of No.10 North is another important structural change. It is intended to become the “engine room” of devolution and good growth, bringing a stronger place-based perspective into the centre of government. Local economic growth and devolution functions have been moved towards No.10 North.

This is significant because it suggests the Government is trying to make place a cross-government responsibility, rather than something principally owned by MHCLG.

6. What does this mean for employment and skills?

For the employability and skills sector, this is potentially one of the most consequential policy developments of the decade.

The direction of travel is towards national government setting national outcomes, standards, funding frameworks, statutory entitlements, economic priorities and national labour-market policy.

Strategic authorities being increasingly responsible for regional employment strategy, skills strategy, economic development, employer engagement, local labour-market interventions, integration of employment and skills provision, alignment with health and public services and commissioning/deployment of devolved funding.

Local authorities will be responsible for identifying local need, community-level delivery, prevention, vulnerable cohorts, integration with housing, homelessness, health and children's services and connecting residents to regional employment opportunities.

This is very close to the place-based employability model that has been developing through programmes such as Connect to Work and the Youth Guarantee.

7. The big opportunity: joining up fragmented programmes

The Government explicitly wants to allow greater pooling and alignment of funding for preventative services.

That creates the possibility of moving away from:
“Which government department owns this participant?”
towards:
“What does this person and this place need?”

That could be transformational for people with multiple barriers, as the rewired model potentially allows a strategic authority and its councils to build a single place-based support system around that individual.

That is one of the strongest arguments for the reform.

8. The major risk

The ambition is enormous, but implementation will be difficult.
The Government itself recognises that local areas have very different levels of capacity and capability and says it will need to support institutions to take on the additional responsibilities

There are therefore five major risks:

1. Capacity

Some authorities simply don't have the organisational capacity to absorb substantially more responsibilities.

2. Financial risk

Greater fiscal devolution means greater exposure to local economic performance.

3. Uneven capability

The best strategic authorities could move rapidly while weaker areas struggle.

4. Fragmentation

Devolution could create more complexity if national programmes, strategic authorities and councils aren't properly aligned.

5. Accountability

The more power transferred to mayors and councils, the more important scrutiny, transparency and measurable outcomes become.

9. Digital government is the other half of the rewiring

There is a second strand to “rewiring the state”: digital transformation and AI. The Government wants to build a genuinely digital state, but the Commons Science, Innovation and Technology Committee warned in June 2026 that the Government's ambitions were not yet supported by a sufficiently detailed implementation plan or clear overarching metrics.

So there are effectively two rewiring programmes:

Structural rewiring

Whitehall → regions → places

Technological rewiring

paper/process-heavy state → digital, data-driven and increasingly AI-enabled state.

The two ultimately need to come together.

10. What happens next?

The immediate timetable is important:

Timeline	Development
Autumn 2026	White Paper setting out detailed reforms and implementation timetable
Autumn 2026	Fiscal devolution roadmap
April 2027	Mayors begin retaining a share of business rates
May 2027	New mayors expected in Cumbria and Cheshire & Warrington

April 2028	Local retention of a share of income-tax receipts begins
Spring 2028	Further wave of mayoral elections
By end of Parliament	Major transfer of powers/functions and alignment of public-service geographies

In Summary

“Rewiring the State” is much bigger than another devolution settlement. It potentially represents a fundamental redesign of the British state:

Whitehall sets direction → strategic authorities lead places → councils and partners integrate services → residents experience a more joined-up system.

For the employability/skills sector, the particularly important opportunity is the convergence of devolution + employment + skills + health + economic growth + prevention.

The question for the sector is therefore “What should a genuinely place-based employment and skills system look like when strategic authorities have the power and funding to design it?”

That is likely to be one of the biggest strategic questions for mayors and local government over the next 2–3 years